

Table 55.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Subtract the lowest low in the rounding bottom from the right saucer rim (or use the left rim if someone stole the right one). Add the difference to the value of the right saucer rim to get the target price. The bottom portion of the table shows how often this works.
Buy bottom	If you can determine that a rounding turn is happening, buy near the bottom and consider selling when the right rim forms.
Wait for breakout	Wait for price to rise (close) above the left saucer rim before buying. If the rounding bottom does not have a left rim, then use the right one, or use whichever one is lower.
Watch for handle	Many times price will reach the level of the left saucer rim and then dip to form a handle (leaving behind a right rim). Buy when price closes above the left/right rim (or pierces a handle trendline moving up).

Description	Bull Market	Bear Market
Percentage reaching half height target	84%	73%
Percentage reaching full height target	65%	51%
Percentage reaching 2× height	39%	24%
Percentage reaching 3× height	25%	12%